

FORM TP 2009231



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MAY/JUNE 2009

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2 – PAPER 02

$2\frac{1}{2}$ hours

28 MAY 2009 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A
MODULE 1
PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Intensified global competition has been a major factor behind management's sharpened interest in quality management and control.

- (a) (i) Explain what is meant by 'Total Quality Management'. [3 marks]
- (ii) Discuss ONE implication of Total Quality Management for EACH of the following:

- Employees
- Product/process design
- Customers
- Suppliers

[16 marks]

- (b) Outline THREE circumstances under which Total Quality Management programmes may fail to achieve overall organizational objectives. [6 marks]

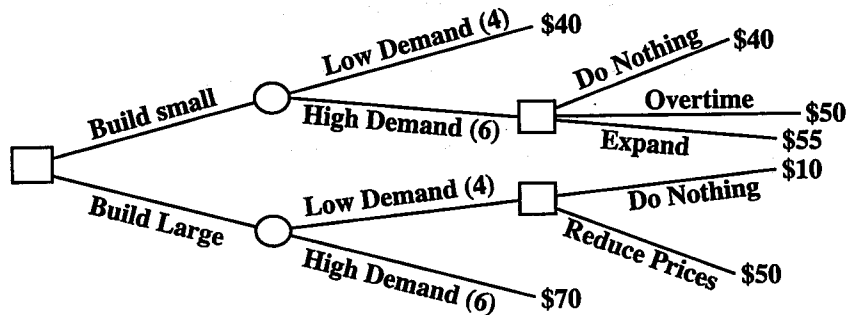
Total 25 marks

2. (a) Forecasting serves as the basis for planning.

Outline THREE advantages and THREE disadvantages of the Delphi method as a forecasting technique. [12 marks]

- (b) Mr. Opportunity is thinking of investing in a garment factory.

The decision tree below shows the alternatives available to Mr. Opportunity if he decides to build a large factory or a small factory.



- (i) Using the decision tree, sequentially analyze the decisions Mr. Opportunity needs to make at EACH step. [8 marks]

- (ii) Calculate the highest expected value for building

- a) a small factory
- b) a large factory.

[4 marks]

- (iii) Determine which alternative Mr. Opportunity must choose if he is to maximize expected monetary returns. [1 mark]

Total 25 marks

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SECTION B

MODULE 2

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FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. (a) Differentiate between 'informative advertising' and 'persuasive advertising', stating ONE situation in which EACH would be MOST effective. [8 marks]
- (b) One major advertising decision is determining which media to use as a means of transmitting the message.

Discuss FOUR factors that may influence the choice of media. [17 marks]

Total 25 marks

4. (a) Differentiate between 'direct distribution channel' and 'indirect distribution channel', giving ONE example of EACH. [6 marks]
- (b) Outline TWO factors that may influence the choice of a distribution channel. [6 marks]
- (c) Discuss THREE benefits to a manufacturer of using an intermediary channel. [13 marks]

Total 25 marks

SECTION C

MODULE 3

SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

The following scenario relates to Questions 5 and 6.

Ruth Williams, an entrepreneur, has started a sole trader business specializing in janitorial services. She started the business with her own savings and she did not have a formal business plan. As her business expands, and according to the needs of her situation, she employs more persons to work for her. She does her own hiring, accounting and marketing. Her business is barely paying for itself.

5. (a) Outline THREE advantages and THREE disadvantages that Ruth Williams experiences as a sole trader. [12 marks]

(b) Discuss THREE characteristics that Ruth should possess in order to be a successful entrepreneur. [13 marks]

Total 25 marks

6. (a) Define the term 'business plan'. [3 marks]

(b) State THREE reasons why Ruth should have a business plan. [6 marks]

(c) Discuss FOUR key elements that Ruth should include in her business plan. [16 marks]

Total 25 marks

END OF TEST